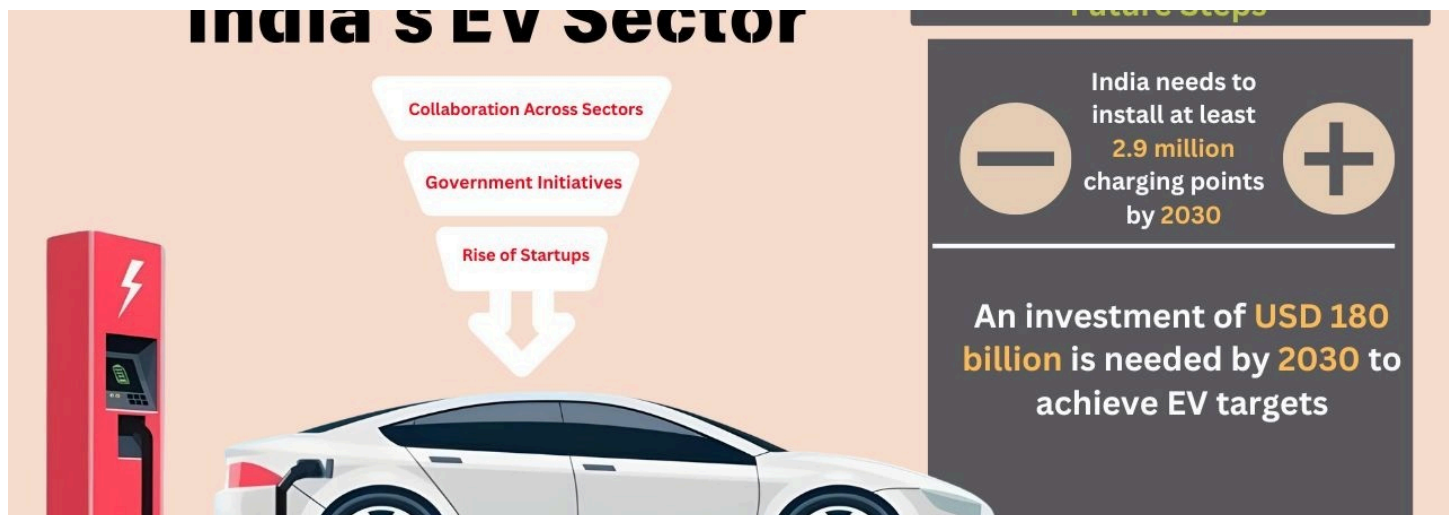




# India's Electric Vehicle Ecosystem Attracts Significant Investments, Driving Sustainable Mobility



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India's electric vehicle (EV) industry has witnessed a surge in investments, attracting approximately **\$6 billion in 2021** alone, according to a report by the India Energy Storage Alliance (IESA). This influx of capital is driven by a combination of government initiatives, consumer demand, and the growing recognition of the need for sustainable mobility solutions.

## Government Initiatives and Policy Support

The Indian government has implemented several policies to foster the growth of the EV sector, including the **Faster Adoption and Manufacturing of Electric Vehicles (FAME)** scheme, which has significantly increased subsidies for EV purchases. **The FAME-II scheme, launched in 2019, allocated a budget of Rs 10,000 crore (\$1.4 billion) for the period of 2019-2022 to support the adoption of EVs in the country.**

The government has also announced plans to achieve **100% electrification** of public transport and **30% electrification** of private vehicles by **2030**. To support this goal, the government has set up a **production-linked incentive (PLI) scheme** for advanced chemistry cell (ACC) battery storage, with an outlay of **Rs 18,100 crore (\$2.5 billion)** to boost local manufacturing of batteries.

## Rise of Startups and Innovation

The EV landscape in India is bustling with innovative startups that are developing cutting-edge technologies and solutions to accelerate the transition to electric mobility. According to a report by

the India Brand Equity Foundation (IBEF), the EV startup ecosystem in India has attracted over \$600 million in investments since 2014.

Some notable startups in the Indian EV space include [Ather Energy](#), which has raised over \$200 million from investors like [Hero MotoCorp](#) and Sachin Bansal, and [Euler Motors](#), which has raised \$20 million in Series A funding led by Inventus Capital, Jetty Ventures, and others.





## Collaboration Across Sectors

Collaboration between traditional automakers and technology suppliers is becoming increasingly important in the EV sector. For instance, [Mahindra and Mahindra Limited \[Automotive and Farm Equipment Business\]](#) have partnered with [LG Energy Solution](#) to develop advanced lithium-ion battery cells for their electric vehicles. Similarly, [Tata Motors](#) has collaborated with [TATA Power](#) to set up a nationwide network of charging stations.

Cross-sector collaborations are also emerging, integrating the EV industry with energy, telecommunications, and urban planning sectors. For example, Fortum India, a Finnish energy company, has partnered with [ChargeZone](#), an Indian EV charging network provider, to set up fast charging stations across the country.



## Addressing Challenges and Gaps

Despite the positive trends, challenges remain. India needs to attract substantial foreign direct investment to bridge the gap between current investment levels and the funding required to achieve its ambitious EV goals. Reports suggest that India needs to invest over **\$180 billion by 2030 to achieve its EV targets**.

Furthermore, the development of charging infrastructure and financing options for consumers are critical areas that require attention to facilitate broader EV adoption. According to a report by [NITI Aayog](#) and [Rocky Mountain Institute](#), India needs to install at least **2.9 million public charging points by 2030 to support the projected EV fleet**.



## Conclusion: A Promising Future for Sustainable Mobility

The investment trends in India's electric vehicle ecosystem indicate a promising future for sustainable mobility. With strong government support, a burgeoning startup landscape, and increasing collaboration across sectors, India is well-positioned to become a global leader in electric mobility. As stakeholders continue to invest in manufacturing infrastructure, innovative technologies, and integrated mobility solutions, the country can accelerate its transition to a cleaner and greener transportation system.

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